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Basic Accounting Terms

I Very Short Questions

Q1 What is capital?

Ans Capital is the amount invested in an enterprise by the proprietor or by partners.

Q2 What are drawings?

Ans It is the amount withdrawn or goods taken by the proprietor or partner for personal use.

Q3 What are Liabilities?

Ans Liabilities is the amount owed by the entity or enterprise to the outside or the proprietor.

Q4 What are assets?

Ans Assets are economic resources of the entity or enterprise which will give benefit in the future.

Q5 What are fictitious assets?

Ans These assets which are neither tangible assets nor intangible assets. They are expenses or losses not written off in the year but are written off in more than one accounting period.

Q6 What are current liability?

Ans Liability which is payable within 12 months from the end of accounting period.

What are

Q7 What are internal liability?

Ans Internal liability is the liability towards owners or proprietor termed as capital.

II Short Questions

Q1 What do you mean by expenditure? Explain its types.

Ans Expenditure is the amount spent or liability incurred for purchasing assets, goods or taking services.

The following are the types of expenditure:-

(i) Capital expenditure:

Amount spent or liability incurred for purchasing assets or improving the existing fixed assets.

(ii) Revenue expenditure:

Amount spent or liability incurred for purchasing goods or services taken to earn revenue.

(iii) Deferred Revenue Expenditure:

Expenses of revenue nature written off in more than one year.

Q2 What is capital receipt and revenue receipt?

Ans Capital receipt: Amount received from sources that are not of revenue nature.

Revenue receipt: Amount received in the normal course of business.

Q3 What do you mean by Deferred Revenue Expenditure?



Ans Deferred Revenue expenditure is a revenue expenditure in nature but is written off to Profit & Loss Account in more than one accounting period.

Q 4 What is discount? Explain its types.

Ans Discount is the reduction in the price of goods. Its types are:-

- (a) Trade Discount: It is the reduction in prices by the seller to the purchaser of goods when they buy goods of certain quantity or value.
- (b) Cash Discount: It is the discount allowed for timely payment of due amount.
- (c) Rebate: It is the discount allowed by the seller after the sale has been made. For ex:- discount allowed for poor quality of goods

Q 5 What is voucher?

Ans A voucher is an evidence of a transaction taken place. It is recorded in Journal

Q 6 What is non-current assets? Explain its types.

Ans Non-current assets are assets owned by the entity or enterprise and are not meant for resale. It is further divided into:-

- a Tangible assets:
Assets having physical existence.
- b Intangible assets:
Assets not having physical existence.

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